

Leave and Holiday Policy - DPO

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Objective:

The Company recognizes that Employee needs time off from work to ensure work life balance as well as for meeting various other needs, social obligations or personal exigencies .This policy provides various leave options available to an employee.

Applicability:

This policy is applicable to all India based employees on rolls of HCL Technologies Ltd – DPO. This policy is not applicable for employees based in Lucknow and Madurai.

PolicyDetails:

Leave Accounting Year:

The leaves are accounted on the basis of calendar year i.e. 1st January to 31st December.

Types of Leave

Leaves are of 5 types :

- o Annual Leaves (AL)
- o My Leave
- o Child Raising Leave
 - a) Maternity Leave
 - b) Maternity Leave Extension
 - c) Surrogacy Leave
 - d) Adoption Policy
 - e) Paternity Leave
- o Compensatory Off
- o Leave without Pay (LWP)
- o Transfer Leave

Quantum of Annual Leaves

Category	Tenure Range	Total No. of Annual Leaves (AL)	Maximum ALs that can be carried forward to Next Year
A	Employees who have completed 3 years as on 31st December	20	12
B	Employees who have NOT completed 3 years as on 31st December	18	12
C	Employees Less than 6 months old	18	12

*Note:

- Leave entitlement would be credited in the beginning of the year for all E0.3 and above employees and for remaining employee it would be credited on monthly accrual basis.
- Pro rata leave entitlement shall be given to those employees joining in between the holiday calendar year.
- Annual leave can be taken into blocks of half day and full day as per the available leave balance
- In case, employee does not have sufficient leaves in his/her current year eligibility (entitlement till that month) the differential will be debited from his/her available accumulated leaves from previous year, if any.
- The accumulation of annual leaves can be done up to a maximum of 45 days and any excess leaves over and above 45 days will be encashed / lapsed as per Policy at the end of the year in which 45 annual leaves have been accumulated. E.g.: The leave balance of an employee on 31 December is 50 days. $(50-45)=5$ days of annual will be en-cashed and paid to

- the employee along with the January salary. The employee's annual leave balance on 1 January will thus stand at 45 days.
- Leaves other than the leaves to be carried forward will be en-cashed at the end of leave accounting year, if they have not been availed during the year. Encashment of these leaves will be done at rate of basic salary for one day of the employee.
 - Annual Leaves (if any) prorated till LWD, will be encashed along with Full and final settlement. Any excess Annual Leave (over and above the pro-rated entitlement till LWD) taken by the employee will be recovered.
 - An employee who has taken leave without obtaining prior approval, will be deemed to be absent from work without permission. This may result in disciplinary actions.
 - An employee who wishes to cancel his leave initially applied for and approved, will need to intimate his reporting manager.
 - No leave, except maternity leave, can be claimed by an employee as a matter of right. Granting of leave shall be at the discretion of the Company depending on work exigencies. Further, in exigencies, the Company reserves its right to call the employee back to join duty as immediately as possible even if the employee is on any sanctioned leave.
 - Notwithstanding anything above, if an employee is prevented to report to work due to sudden sickness, he/she would be required to notify his reporting manager before the commencement of normal business hours.
 - Any intentional misstatement of a reason given for a leave will amount to misconduct and the Company may initiate disciplinary action against such employee.
 - After expiration of leave, if an employee fails to return and/or fails to communicate with the HR and his/ her RM, the Company shall consider such unauthorized absence of an employee as impermissible conduct and he shall be liable for disciplinary action.

The maximum encashment of leaves at the time of separation will be 45 days. The encashment of leaves beyond 45 days will be done as per the below table with effect from 1st September, 2020:

Table 1

Employee band	Encashment logic beyond 45 days
E0 to E3	Encashment of leave will be done at 1 times the basic salary for one day of the employee
E4 and above (Employees who have joined on or before April 30, 2011)	Effective 1 January 2023, leaves accumulated post 45 days will be lapsed and thus leaves will not be en-cashed. This will apply on the leave balance of the calendar year 2022 and onwards.
E4 and above (Employees who joined on or after May 1,2011)	Leaves accumulated post 45 days will be lapsed and thus leaves will not be en-cashed.
In an event of promotion from E3 to E4	Encashment of leave beyond 45 days will be governed as per following: From 1st January to date of promotion to E4 band @100% Effective 1 January, 2023, leaves accrued after date of promotion to be lapsed.
In an event of separation (for all bands)	Effective 01 September 2020 [^] , accumulated leaves up to 45 and above will be encashed @ the rate of 100% of Basic Salary.

[^] Separation action being initiated on or after September 1, 2020

Intervening Holidays/weekends

Intervening holidays/weekends will not be taken into account for leave calculation except in case of child

raising leave (except Paternity Leave) and leave-without-pay. E.g.: If an employee has applied for Annual Leaves from Friday to Wednesday, then the number of leaves calculated is 4 days.

Clubbing with other leaves/ RH/ Holidays

Annual Leaves/ Child raising Leave can be clubbed with Leave without Pay/ Company Holidays/ Restricted Holidays.

Leaves Rounding off logic (yearly)

For calculation purpose, leaves will be rounded off as per the below logic.

Leaves Rounding Off Logic

Range	Round off
1.00 - 1.25	1.00
1.26 - 1.75	1.50
1.76 - 2.00	2.00

Voluntary Leave Encashment Policy

Effective May 2, 2022, employees in bands E0-E3 will be able to raise Voluntary Leave Encashment Requests.

Guidelines:

- The window will open on February 1st of every year post the year end encashment that happens in January every year.
- The encashment request window will be open between 1st February – 15th December of every year.
- Cut-off date to place the request will be 20th of every month. The encashment will happen every month for requests placed in that month.
- 12 leaves will be frozen, and employees can raise request for encashment of annual leaves > 12. Employees who do not have a balance of more than 12 leaves, will not be able to raise a request.
- The encashment will happen at 100% of the basic salary of the employee as on payroll run date. Backdated changes in basic salary will not be considered/ normalized.
- An employee must consider his / her leave requirements before encashing their leaves under the Program.
- Once encashed, leave balances cannot be reversed.
- Submitted encashment requests can be cancelled till cut-off date as mentioned in the Policy. Request cannot be edited. If an employee wishes to change the request, they must first cancel it and then place another request before the cut-off date. Post cut-off date, no changes will be entertained.
- Employees at onsite (E0-E3) with India leave balance can also get their India leaves encashed. The encashment will happen at 100% of the last drawn India basic salary.
- This program will not be applicable to rebadged employees with differential leave policies unless otherwise stated.
- Employees will have to provide a mandatory consent before placing the request.
- The program will not be applicable to employees serving notice period as per Exit Management System. VLE requests raised before initiating separation will not be considered. Leaves will be encashed at the time of separation as per the Policy.
- All encashments under the Program will be taxable.
- Please refer "Forms" section of the Policy for VLE Guide.

My Leave

- Employee can avail My leaves to a maximum of defined limits mentioned in table below, with an approval from his/her RM in a calendar year on the following occasions:

Category	Tenure Range	Total No. of My Leave
A	Employees who have completed 3 years as on 31st December	2
B	Employees who have NOT completed 3 years as on 31st December	1
C	Employees Less than 6 months old	(Eligible for 1 My Leave as soon as they complete 6 months in the system)

- Marriage, Family Celebration- Birthday of parents/in-laws, self, spouse, children, marriage anniversary etc
- CSR activities
- Bereavement
- The leaves, if not availed will be lapsed at the end of the year and cannot be carried forward.
- My Leave needs to be applied at least 7 days in advance to leave start date, else approval from the Second Level Manager rule will apply
- In case, My leave(s) are not applied as per the rules mentioned above, leave application would go to SLM (Second Level Manager) for approval.
- The above rule will be applied in instances where the employee is in E6 or below career level, else the same approved by the reporting manager only.

Child Raising Leave

Child raising leave is an employee benefit provided by HCL. Under this category of leaves, the employee will be provided either paid or unpaid time off work, as applicable to take care for their respective child/children or make arrangements for the child's welfare.

It is not mandatory to avail all the below leave types

a.) Maternity Leave

- o All women employees who have worked continuously for a period of at least 80 days during 12 months immediately preceding the date of her expected date of delivery, are entitled to receive maternity benefit of a total of 26 weeks of paid leave, whether taken before or after childbirth. However the employee cannot take leaves more than eight weeks before her expected date of delivery.
- o In case of miscarriage or medical termination of pregnancy, an employee on production/submission of the prescribed proof to HR in the form a medical certificate from a registered medical practitioner, will be entitled to leave with pay, for a period of 6 weeks immediately following the day of her miscarriage or medical termination of pregnancy. Miscarriage means expulsion of contents of uterus at any period prior or during 26th week of pregnancy. This leave can be availed on approval from HR and RM.
- o Medical termination of the pregnancy should be one that is advised by the doctor/medical practitioner. Medical termination of the Pregnancy for the purpose of this policy shall mean the termination of pregnancy as permissible under the provisions of Medical Termination of Pregnancy Act, 1971. In terms of the applicable provisions of Medical Termination of Pregnancy Act, 1971, a pregnancy may be terminated by a registered medical practitioner,
 - a) Where the length of the pregnancy does not exceed twelve weeks,
 - b) Where the length of the pregnancy exceeds twelve weeks but does not exceed twenty weeks, if not

less than two registered medical practitioners are, of opinion, formed in good faith, that –

- i.) The continuance of the pregnancy would involve a risk to the life of the pregnant woman or of grave injury to her physical or mental health; or
- ii.) There is a substantial risk to the child to be born, would suffer from physical or mental abnormalities as to be seriously handicapped.
- iii.) Where any pregnancy is alleged to have been caused by an unfortunate act, and the same has been presumed to constitute a grave injury to the mental health of the pregnant woman.

- o However, the aforesaid benefits will not apply if the termination of pregnancy is voluntary and accordingly leave cannot be claimed under this policy.
 - o In case of maternity leave, the employee must submit application/request at least 6 weeks in advance in LMS as has been prescribed under the Maternity Benefit Act, 1961 with the expected date of delivery. The employee is required to produce a medical certificate confirming the pregnancy and detailing the expected date of birth and the date on which the maternity leave is to commence. The employee can avail the maternity leave post approval from RM and HR
- Female Employees will also be eligible to take breaks between work to visit the Child in Crèche.

b.) Maternity Leave Extension

- o A women employee is entitled to further avail one month of paid extended maternity leave after completion of Maternity leave in case of illness arising out of pregnancy / delivery, premature birth of a child etc.
- o A medical certificate from a registered medical practitioner has to be submitted to the HR and is required to be uploaded while applying leave in LMS.
- o The employee needs to apply for Maternity Leave Extension from 4 weeks to 10 days in advance in LMS proceeding immediately after the last day of Maternity Leave. This can be availed on approval of RM and HR
- o Maternity leave extension should be taken in continuation only

Leave for Tubectomy Operation: In case of tubectomy operation, the employee on production of such medical proofs as issued by the registered medical practitioner is entitled for paid leaves for the period of two weeks immediately following the day of her tubectomy operation. The approval from RM and HR is required to avail this leave

c.) Surrogacy Leave

- o **Surrogacy** is an arrangement whereby another woman agrees to carry the pregnancy for intended parents who cannot give birth to a baby.
- o A commissioning mother intending for a child through surrogacy is eligible for 26 weeks of continuous leave.
- o The commissioning mother must produce relevant medical documentation to declare having a child through surrogacy.
- o The commissioning mother must check the below details before taking the surrogacy procedure to be eligible for surrogacy leave :
 - The commissioning couple must be Indian citizens and legally married for minimum 5 years
 - The age group of the commissioning couple must be between 23-50 for female and 26-55 for male.
 - The commissioning couple must not have any surviving child biologically or through adoption

or surrogacy (except when the child born through surrogacy is physically challenged or terminally ill).

-The surrogate mother should be a close relative of commissioning couple and must be between age of 25-35 years

- o The employee will have to submit the proof of childbirth / doctor's certificate / Surrogacy Documents prior to availing the leave.
- o The employee should apply for surrogacy leave at least 4 weeks in advance and can be availed on approval of RM and HR
- o An employee opting for surrogacy will be entitled to include the child as dependent under relevant company policies after completion of necessary legal formalities

e.) Adoption Leave

- o In case of adoption of a child, the employee will be entitled to continuous paid leave, depending on the age of the child, if the employee declares himself / herself as the primary care giver.
- o Leave entitlement :
 - 26 weeks – If the age of child is up to 1 year
 - 12 weeks – if child is more than 1 years and less than 3 years of age
 - 6 weeks – if child is more than 3 years and less than 5 years of age
 - 4 weeks – if child is 5 years of age and less than 8 years
- o The Employees will be entitled to above mentioned leave durations for taking care of step children as well.
- o The adoption of a child has to be through licensed agencies. In order to avail the benefits under this category, the employee is required to submit the copy of the registered adoption deed and/or proof of childbirth prior to availing the leave.
- o If the employee can't furnish the aforesaid documents prior to availing of leaves, he/she may provide a written declaration in LMS for submitting the necessary documents as and when the same gets available. In case if the employee is not able to provide the required documents within the timelines as suggested by him / her in the declaration, the adoption leave provided will be adjusted from the employee's leave balance subsequently
- o If both the parents of child are working with the Company, only one parent can avail this leave.
- o The employee should apply for adoption leave at least 4 weeks in advance and can be availed on approval of RM and HR
- o An employee who legally adopts a child following due procedures will also be entitled to include the child as dependent under relevant Company policies

Please Note: Any weekly off or Company Holiday that falls during Maternity leave, Maternity Leave extension, Infant care leave, leave for Tubectomy Operation. Adoption leave and Surrogacy leave is counted as part of the respective leave period and will not give rise to any additional leave or payment

f.) Paternity Leave

- o A male employee is eligible for 5 working days of paid paternity leave for the birth of his child(ren). A formal communication along with documentary evidence is to be submitted to the reporting manager.
- o This leave can be availed for taking care of Surrogate child as well
- o This leave must be availed within 1 year of the child(ren)'s birth and in continuation.

Please Note: Any weekly off or Company Holiday that falls during Maternity leave, Maternity Leave extension, leave for Tubectomy Operation, Adoption leave and Surrogacy leave is counted as part of the respective leave period and will not give rise to any additional leave or payment

***In an unfortunate event of demise of mother at the time of childbirth, the father will be entitled to take 26 weeks of continuous paid leave to take care of the Child.*

Compensatory Off and EDP

- o If any employee work on a Process holiday, compensatory off can be availed as per the grid given below.
- o Compensatory Off cannot be availed in advance of the extra day planned. It can only be availed after the employee works on extra day.
- o If a process holiday falls on a National Holiday, in that case employee will be entitled to double wages and not compensatory off

HOLIDAY TABLE

Holiday Type	E0/E1 (Ops/Ops Support)	E2/E3 (Ops/Ops Support)	* E0-E1 (Bus. Support)	*E2-E3 (Bus. Support)	E4 & Above
Process Holiday (6 holidays as per centre/ 1 day extra wage process calendar)		1 day compensatory off	1 day compensatory off	Not Applicable	Not Applicable

* Smart card attendance is mandatory, with a minimum of 9.5 hours of log in time to avail the compensatory off or to be eligible for Extra Day Pay.

Double wage payment for Festival and National Holiday working: All Employees who work on a National/ festival holiday are entitled to double wages for the days worked. This is applicable to both billable and non-billable employees. Such working should be planned in advance and approved by his / her Reporting Manager.

*Double wages will be calculated basis the employee's salary as on that respective Company(National/ Festival) Holiday on which the employee has worked. The amount would be paid along with the subsequent month salary.

*Double Wage Salary refers to employee's regular pay for a day and one day extra pay. For example, the employee worked on Independence Day and his one day pay is INR 1000, he will be entitled to get addition INR 1000 as Extra day pay.

Company/Process Holiday

- Rules relating to Company Holidays will be applicable effective the beginning of calendar year from 1st January to 31st December. Employees will be entitled to 9 days Company Holidays in the calendar year.
- There are 3 National Holidays for all the locations, i.e. Jan 26, Aug 15 & Oct 2 will remain as mandatory National Holidays irrespective of the days that they fall under.
- Company Holidays include the national holidays and other location specific holidays
- The list of Process Holidays are finalized in the beginning of the calendar. Other than national holidays (3), every employee would follow the client holidays (6) of the process and same would be updated on respective Holiday Calendar w.e.f. 1st January.
- For employees who are part of DPO Support Teams (IT, Finance, HR, Admin, BPC, Transitions, MIS,) and not aligned to Customer, will get 6 Company Holidays and can avail 3 Restricted Holidays

based on the Holiday List of their Work Location. These RH's need to be applied & approved by RM through LMS at least 3 days prior to the Holiday.

Leave without pay

- o All the LWP's leaves should be pre-approved leaves as per the leave planner and should be updated in the weekly roster. Conditions for availing Leave Without Pay:
 - o Medical Reasons
 - o Extension of Maternity Leaves
 - o Marriage
 - o Exams
 - o Professional training (Short duration)
 - o Spouse's deputation to another country
 - o The approval authority for leaves under LWP is as follows:

LWP Approving Authority Matrix

No. of Days	Approving Authority
Upto 7 days	Reporting Manager (RM)
8 days to 15 days	Delivery Lead / Functional Head + EP HR Lead
16 days to 31 days	Delivery Lead / Functional Head + HR Director
>31 days	HR Head

Unauthorised Absence

Any absence from duty must be authorized. If an employee is absent from the duty without authorization, such absence will be treated as unauthorized absence and may result in disciplinary action. In such cases, the employee is not entitled to salary for that period and will not be able to apply any other type of leave except for unauthorized absence which is permitted by RM and HR. Further, the HR and RM can apply this leave on behalf of employees absent from duty and only the HR and RM can cancel this leave.

Transfer Leave

- o Employees are entitled for a 5 days transfer leaves (Calendar Days) which is to be availed between the last working day at the present location and the first working day at the new transferred location applicable for transfers within India and for employees returning to India from an onsite assignment (9 months or more). (Detailed Information on Transfer has been mentioned in the Transfer Policy).
- o This type of leave cannot be carried forward or clubbed with any other type of leave.
- o If the transfer action has been completed in SAP - The system will allow the employee to apply for a Transfer Leave within 1 month from the Transfer effective date.
- o If transfer action has not been completed in SAP – The system will allow the employee to apply and avail for a Transfer Leave within 1 month of the transfer leave applying date and the current date.
- o Employees voluntarily seeking transfer (request transfer) will not be entitled for transfer leaves.

Female Employees enrolled/covered under ESIC

Female employees who are enrolled/covered under ESIC are required to avail the maternity benefit provided by government. Employee needs to fill up and submit Form -17 & 19 as per ESIC guidelines to avail this benefit. Please refer forms section of the policy to download the applicable forms.

Process:

Procedure and Guidelines

- The leaves availed by all employees have to be recorded in the Leave Management System (LMS) on I Assist (<https://www.hclbpo.net>) and should be applied on LMS at least 2 days in advance.
- The Leave request through LMS is automatically sent to the Reporting Manager.
- The reporting manager has the authority to approve or reject leaves of his reportees. In the absence of Reporting Manager, he/she has the access to delegate approving rights to the next manager in line/Process Head.
- The Reporting Manager can check the leave balance of the employee in LMS before approving any type of leave request.
- If an employee applies and his/her manager approves it, the employee has the right to withdraw / cancel the leave in LMS before the leave begins.
- If an employee decides to join back before the end of his/her leaves then he/she will have to contact EP HR to cancel the un-availed leaves.
- If the leaves applied are not continuous then the employee will also have the option to cancel the leave in LMS before the period begins.
- For employees in E0 and E1 grade, if the leaves are not applied through LMS then the employee will be marked as 'Abscondee' on the fourth day of unscheduled absence and on the 11th day he/she will be auto-terminated by the system from the organization. This entire process is system driven and there will be no exceptions to this rule, however this rule will not be applicable to any unapproved leave in LMS.
- If an employee does not apply for leaves through LMS or the Reporting Manager does not approve any leave, which the employee avails, the same would be treated as an unscheduled leave.
- In case an employee fails to report to work on completion of sanctioned leaves, the extended absence would be accounted as 'unscheduled leave' and the same procedure of auto absconding and termination will be followed. Reporting Manager/EP HR should immediately be informed for extension and leaves should be updated in LMS.
- All unscheduled leaves would be treated as Leave without Pay and attendance allowance would be deducted as applicable.
- Leave balance for all employees and their team members is updated in LMS.
- Annual leaves for upto 6 days will be auto-approved, if RM do not respond within 5 days of leave application through LMS.

Company/Process Holiday

- Rules relating to Company Holidays will be applicable effective the beginning of calendar year from 1st January to 31st December. Employees will be entitled to 9 days Company Holidays in the calendaryear.
- There are 3 National Holidays for all the locations, i.e. Jan 26, Aug 15 & Oct 2 will remain as mandatory National Holidays irrespective of the days that they fall under.
- Company Holidays include the national holidays and other location specific holidays
- The list of Process Holidays are finalized in the beginning of the calendar. Other than national holidays (3), every employee would follow the client holidays (6) of the process and same would be updated on respective Holiday Calendar w.e.f. 1st January.

